

New Market Innovations

- New market disruptions involve making a product more affordable to own or easier to use, thus allowing a new population to experience the product.



This leads to the creation of a new market.

- Here, the challenger with his value proposition is competing against the 'non-consumption' of the existing product.
- This opens up and expands, an all-new market for the product with the users.
- There is no clear strategy on how incumbents should behave in new market disruptions.

if

The new market created has the potential to replace the existing one.



- The firm should respond either by trying to outcompete the challenger in the initial days

- Get involved in the new market along with the challengers.

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The incumbent is confident that the disruption would not take away their market but only create a new one, they may choose to ignore it.

However, the risk remains that the challenger may later alter the value proposition and become a direct competitor in the incumbent's industry.



Today, all industries face the risk of being disrupted with new technologies and business models coming in. All entrepreneurs and investors should see this as a challenge as well as an opportunity. The potential threats of disruption, forces of disruption, and degree of competition by challengers are topics that should be understood by everyone before entering any industry.